

CHAPTER THREE

JOB ANALYSIS & HR PLANNING

What Is Job Analysis?

Organizations consist of positions that have to be staffed. The organization chart (see Figure 3-1) shows the title of each supervisor's position and, by means of connecting lines, who is accountable to whom, who has authority for each area, and who is expected to communicate with whom. **Job analysis** is the procedure through which you determine the duties of the company's positions and the characteristics of the people to hire for them. Job analysis produces information for writing **job descriptions** (a list of what the job entails) and **job** (or "person") **specifications** (what kind of people to hire for the job). Virtually every personnel-related action—interviewing applicants, and training and appraising employees, for instance—requires knowing what the job entails and what human traits one needs to do the job well.

The supervisor or human resources specialist normally collects one or more of the following types of information via the job analysis:

- **Work activities.** Information about the job's actual work activities, such as cleaning, selling, teaching, or painting. This list may also include how, why, and when the worker performs each activity.
- **Human behaviors.** Information about human behaviors the job requires, like sensing, communicating, lifting weights, or walking long distances.
- **Machines, tools, equipment, and work aids.** Information regarding tools used, materials processed, knowledge dealt with or applied (such as finance or law), and services rendered (such as counseling or repairing).
- **Performance standards.** Information about the job's performance standards (in terms of quantity or quality levels for each job duty, for instance).
- **Job context.** Information about such matters as physical working conditions, work schedule, incentives, and, for instance, the number of people with whom the employee would normally interact.
- **Human requirements.** Information such as knowledge or skills (education, training, work experience) and required personal attributes (aptitudes, personality, interests).

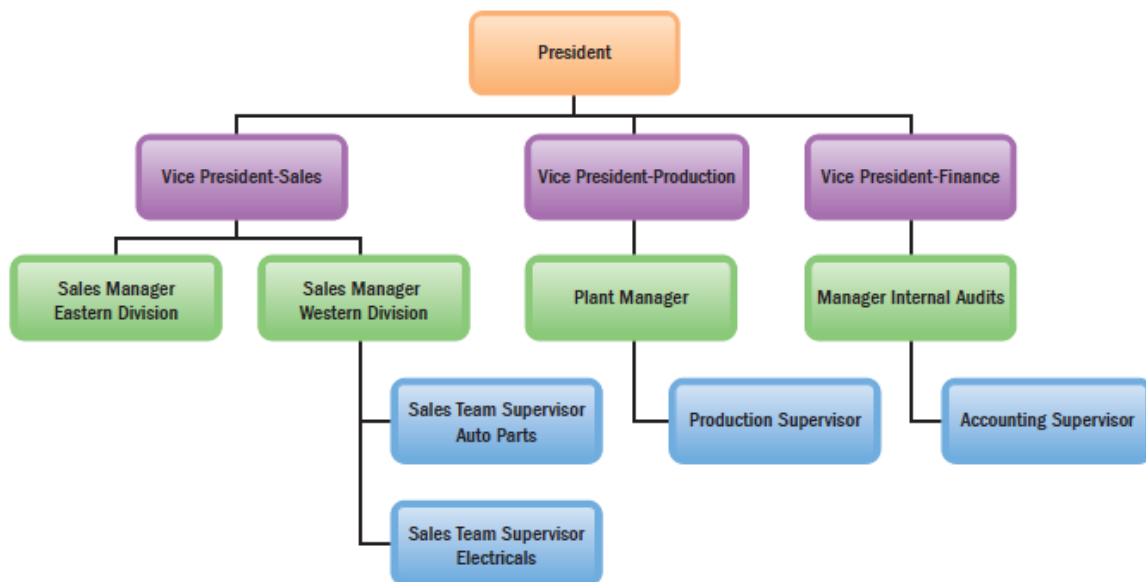


Figure 3.1. Organization Chart

Uses of Job Analysis Information

As Figure 3-2 summarizes, job analysis is important because it supports just about all human resource management activities.

The following are the benefits of job analysis.

1. **Organizational structure and design:-** Job analysis helps the organization to make suitable changes in the organizational structure, so that it matches the needs and requirements of the organization. Duties are either added or deleted from the job.
2. **Recruitment and selection:-** Job analysis provides information about what the job entails and what human characteristics are required to perform these activities. This information, in the form of job descriptions and specifications, helps management decide what sort of people to recruit and hire.
3. **Performance appraisal and training/development:-** Based on the job requirements identified in the job analysis, the company decides a training program. Training is given in those areas which will help to improve the performance on the job. Similarly, when appraisal is conducted, we check whether the employee is able to work in a manner in which we require him to do the job.

4. **Job evaluation:** - Job evaluation refers to studying in detail the job performance by all individual. The difficulty level

5. Skills required and on that basis the salary is fixed. Information regarding qualities required, skilled levels, difficulty levels are obtained from job analysis.

6. **Promotions and transfer** :- When we give a promotion to an employee we need to promote him on the basis of the skill and talent required for the future job. Similarly when we transfer an employee to another branch the job must be very similar to what he has done before. To take these decisions we collect information from job analysis.

7. **Career path planning** :- Many companies have not taken up career planning for their employees. This is done to prevent the employee from leaving the company. When we plan the future career of the employee, information will be collected from job analysis. Hence job analysis becomes important or advantageous.

8. **Labour relations** :- When companies plan to add extra duties or delete certain duties from a job, they require the help of job analysis, when this activity is systematically done using job analysis the number of problems with union members reduce and labour relations will improve.

9. **Health and safety** :- Most companies prepare their own health and safety, plans and programs based on job analysis. From the job analysis company identifies the risk factor on the job and based on the risk factor safety equipments are provided.

10. **Acceptance of job offer** :- When a person is given an offer/appointment letter the duties to be performed by him are clearly mentioned in it, this information is collected from job analysis, which is why job analysis becomes important.

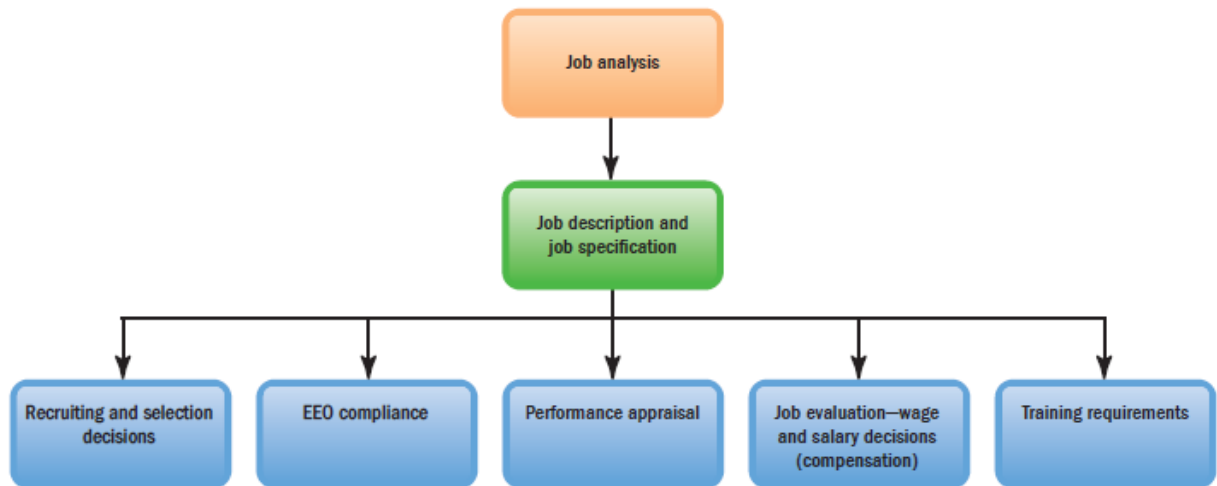


Figure 3.2. Uses of Job Analysis Information

3.2. Steps in Job Analysis

There are six steps in doing a job analysis of a job, as follows.

STEP 1: Identify the use to which the information will be put because this will determine how you collect the information. Some data collection techniques—like interviewing the employee—are good for writing job descriptions. Other techniques, like the position analysis questionnaire we describe later, provide numerical ratings for each job; these can be used to compare jobs for compensation purposes.

STEP 2: Review Relevant Background Information About the Job, Such as Organization Charts and Process Charts It is important to understand the job's context. For example, **organization charts** show the organization wide division of work, and where the job fits in the overall organization. A **process chart** provides a detailed picture of the workflow. Thus, in the process chart in Figure 3-3, the quality control clerk should review components from suppliers, check components going to the plant managers, and give information regarding the components' quality to these managers. Finally, an existing job description may provide a starting point for revising the job description.

Workflow Analysis Reviewing the organization chart, process chart, and job description helps the manager identify what a job's duties and demands are now. However, it does *not* answer questions like "Does how this job relates to other jobs make sense?" or "Should this job even exist?" To answer such questions, the manager may conduct a *workflow analysis*. **Workflow**

analysis is a detailed study of the flow of work from job to job in one identifiable work process (such as processing a mortgage application). In turn, this analysis may lead to changing or “reengineering” the job process. **Business process reengineering** means redesigning business processes, usually by combining steps, so that small multifunction process teams using information technology do the jobs formerly done by a sequence of departments.

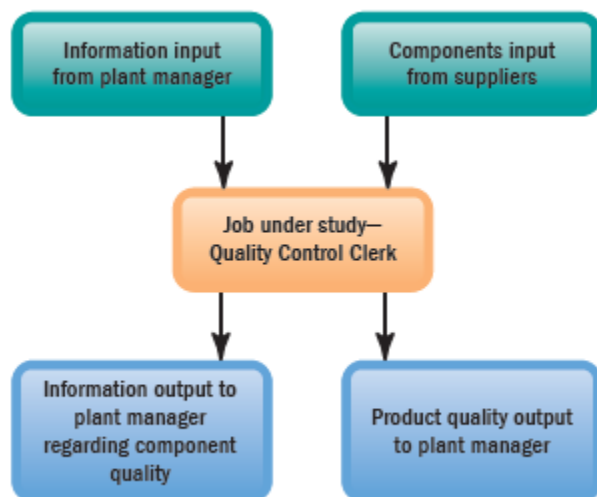


Figure 3.3. Process Chart for Analyzing a Job's Workflow

STEP 3: Select Representative Positions Next, with a job to analyze, the manager generally selects a sample of positions to focus on. For example, it is usually unnecessary to analyze the jobs of all the firm's 200 assembly workers; instead, a sample of 10 jobs will do.

STEP 4: Actually, Analyze the Job The actual job analysis involves greeting each job holder; briefly explaining the job analysis process and the participants' roles in this process; spending about 15 minutes interviewing the employee to get agreement on a basic summary of the job; identifying the job's broad areas of responsibility, such as “calling on potential clients”; and then interactively identifying specific duties/tasks within each area using one of the methods we describe just below.

STEP 5: Verify the Job Analysis Information with the Worker Performing the Job and with His or Her Immediate Supervisor This will help confirm that the information (for instance, on the job's duties) is correct and complete and help to gain their acceptance.

STEP 6: Develop a Job Description and Job Specification The *job description* lists the duties, activities, and responsibilities of the job, as well as its important features, such as working conditions. The *job specification* summarizes the personal qualities, traits, skills, and background required for getting the job done.

3.3. Methods for Collecting Job Analysis Information

There are many ways (interviews or questionnaires, for instance) to collect job information. The basic rule is to use those that best fit your purpose. Thus, an interview might be best for creating a list of job duties. The more quantitative “position analysis questionnaire” may be best for quantifying each job’s value for pay purposes.

Before actually analyzing the job, keep several things in mind.

- Make the job analysis a *joint effort by a human resources manager, the worker, and the supervisor*. The human resource manager might observe the worker doing the job, and have the supervisor and worker complete job questionnaires. The supervisor and worker then verify the HR manager’s list of job duties.
- *Make sure the questions and the process are clear* to the employees.
- *Use several job analysis methods*. For example, a questionnaire might miss a task the worker performs just occasionally. Therefore, it’s prudent to follow up the questionnaire with a short interview.

1. The Interview

Job analysis interviews range from unstructured (“Tell me about your job”) to highly structured ones with hundreds of specific items to check off. Managers may conduct individual interviews with each employee, group interviews with groups of employees who have the same job, and/or supervisor interviews with one or more knowledgeable supervisors. Use group interviews when a large number of employees are performing similar or identical work, since this can be a quick and

inexpensive way to gather information. As a rule, the workers’ immediate supervisor attends the group session; if not, you can interview the supervisor separately. The interviewee should understand the reason for the interview. There’s a tendency for workers to view such interviews,

rightly or wrongly, as “efficiency evaluations.” If so, interviewees may hesitate to describe their jobs accurately.

Interviewing Guidelines

To get the best information possible:

- Establish rapport with the interviewee. Know the person’s name, speak understandably, briefly review the interview’s purpose, and explain how the person was chosen for the interview.
- Use a structured guide that lists questions. This ensures you’ll identify crucial questions ahead of time and that all interviewers (if more than one) cover all the required questions. (However, also ask, “Was there anything we didn’t cover with our questions?”)
- Make sure you don’t overlook crucial but infrequently performed activities—like a nurse’s occasional emergency room duties. Ask the worker to list his or her duties in order of importance and frequency of occurrence.
- After completing the interview, review the information with the worker’s supervisor and the worker.

Advantages:

- This method is most commonly used.
- Through this method, qualitative aspects of the job can also be examined.
- This method works very well for jobs that have long job cycles.
- This method generates information that can never appear on written format.
- Jobholders are most familiar with the job; therefore, they can provide better analysis of the job as compare to anyone else.

Disadvantages:

- The efficiency of this method depends on the interviewer’s ability to take interview.
- This method of job analysis may become faulty if the interviewer puts ambiguous questions to workers.
- With the purpose to add greater weightage to their position, the workers may exaggerate their job duties.
- If a number of jobs are to be studied, then this method is very time and money consuming.

- In order to show that their job is very complex, the workers may distort information.
- If the purpose of interview is not clear, employees may provide information to protect their own interests.

2. Questionnaires

Having employees fill out questionnaires to describe their job duties and responsibilities is another popular job analysis approach. Some questionnaires are structured checklists. Here each employee gets an inventory of perhaps hundreds of specific duties or tasks (such as “change and splice wire”). He or she must indicate if he or she performs each task and, if so, how much time is normally spent on each. At the other extreme, the questionnaire may simply ask, “describe the major duties of your job.”

Questionnaires have pros and cons. This is a quick and efficient way to obtain information from a large number of employees; it’s less costly than interviewing dozens of workers, for instance. However, developing and testing it (perhaps by making sure the workers understand the questions) can be time-consuming. And as with interviews, employees may distort their answers.

3. Observation

Direct observation is especially useful when jobs consist of observable physical activities—assembly-line worker and accounting clerk are examples. However, it’s usually not appropriate when the job entails a lot of mental activity (lawyer, design engineer). Nor is it useful if the employee only occasionally engages in important activities, such as a nurse who handles emergencies. *Reactivity*—the worker’s changing what he or she normally does because you are watching—is another problem.

Managers often use direct observation and interviewing together. One approach is to observe the worker on the job during a complete work cycle. (The *cycle* is the time it takes to complete the job; it could be a minute for an assembly-line worker or an hour, a day, or longer for complex jobs.) Here you take notes of all the job activities. Then, ask the person to clarify open points and to explain what other activities he or she performs that you didn’t observe.

Advantages:

- This method provides firsthand knowledge and information about the job that is being analyzed, as compare to other method of job analysis, in which the information is obtained indirectly.
- By this method, job analyst is able to see the actual work environment, tools and equipment used, inter relationship among workers and the complexity of the job.
- This method is very simple.
- Verification of the data, collected through this method, can be done through other sources.

Disadvantages:

- In the presence of an observer, the incumbent may alter their normal work behaviour, if they know that they are being observed. All this reduces the effectiveness of this method.
- For the jobs, that involves significant amount of mental efforts, this method is not very suitable.
- Job analyst may not be skilled enough to know what to observe and how to analyze what has been observed.
- This method is very time consuming.
- This method leads to personal biasness, likes or dislikes, as different people have different ways of thinking

4. Diary/Logs

The daily listings, made by the workers, what they do during the day are called maintaining the dairy or log. In this technique, the workers maintain the diary, on daily basis, by recording the job duties, frequencies of the duty etc. This technique, when supplemented with subsequent interviews with the workers and the supervisors, produces the complete picture of the job.

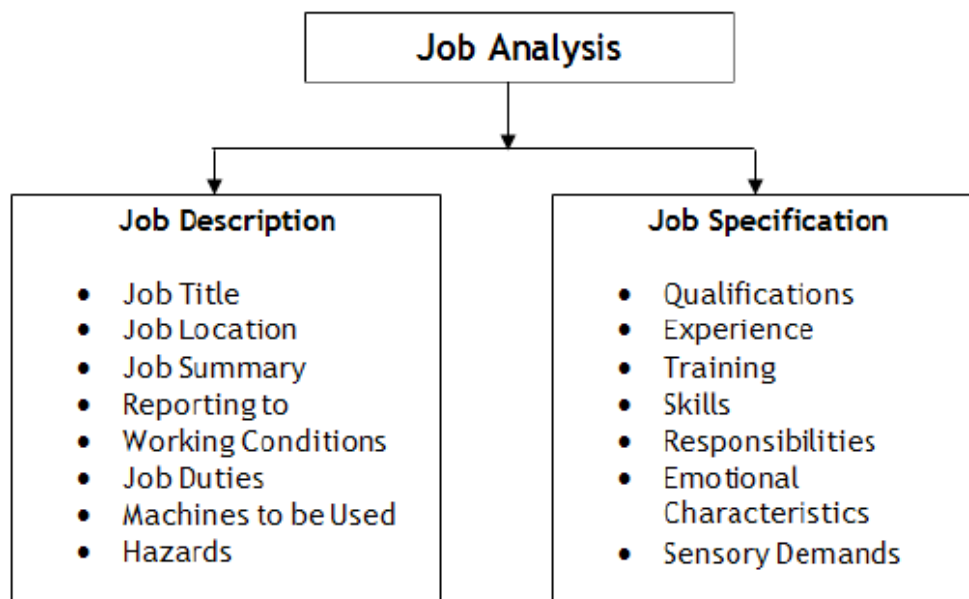
In order to have good information about the job, the diary or log should be updated. An examination of the routineness or non-routineness of the job, duties can be made by comparing the daily, weekly or monthly figures of the dairy. Some jobs are very difficult to observe, like that of engineers, scientists, and senior executives etc. In these types of jobs, diary or log provides a useful basis for gathering information, related to the job. The problem, with this method of

collecting the job-related information, is that the individuals are not disciplined enough to keep such a dairy or log. But in order to avoid such pitfalls, some firms take a high-tech approach to dairy or logs. Pocket dictating machines and pagers are given to the employees. The employers page the workers at random times, during the day, who dictate what they are doing at that time.

3.3.1. Job Description and Job Specification

Job Analysis is a primary tool to collect job-related data. The process results in collecting and recording two data sets including job description and job specification. Any job vacancy can not be filled until and unless HR manager has these two sets of data. It is necessary to define them accurately in order to fit the right person at the right place and at the right time. This helps both employer and employee understand what exactly needs to be delivered and how.

Both job description and job specification are essential parts of job analysis information. Writing them clearly and accurately helps organization and workers cope with many challenges while onboard.



Job Descriptions

The most important product of job analysis is the job description. A **job description** is a written **statement of what the worker actually does**, how he or she does it, and what the job's working conditions are. It includes basic job-related data that is useful to advertise a specific job and attract a pool of talent. It includes information such as job title, job location, reporting to and of employees, job summary, nature and objectives of a job, tasks and duties to be performed, working conditions, machines, tools and equipment's to be used by a prospective worker and hazards involved in it.

There is no standard format for writing a job description. However, most descriptions contain sections that cover:

1. Job identification
2. Job summary
3. Responsibilities and duties
4. Authority of incumbent
5. Standards of performance
6. Working conditions
7. Job specification

Purpose of Job Description

- The main purpose of job description is to collect job-related data in order to advertise for a particular job. It helps in attracting, targeting, recruiting and selecting the right candidate for the right job.
- It is done to determine what needs to be delivered in a particular job. It clarifies what employees are supposed to do if selected for that particular job opening.
- It gives recruiting staff a clear view what kind of candidate is required by a particular department or division to perform a specific task or job.
- It also clarifies who will report to whom.

Job Specifications

The job specification takes the job description and answers the question, “What human traits and experience are required to do this job effectively?” It shows what kind of person to recruit and for what qualities you should test that person. It may be a section of the job description, or a separate document. It is a written statement of educational qualifications, specific qualities, level of experience, physical, emotional, technical and communication skills required to perform a job, responsibilities involved in a job and other unusual sensory demands. It also includes general health, mental health, intelligence, aptitude, memory, judgment, leadership skills, emotional ability, adaptability, flexibility, values and ethics, manners and creativity, etc.

Purpose of Job Specification

- Described on the basis of job description, job specification helps candidates analyze whether are eligible to apply for a particular job vacancy or not.
- It helps recruiting team of an organization understand what level of qualifications, qualities and set of characteristics should be present in a candidate to make him or her eligible for the job opening.
- Job Specification gives detailed information about any job including job responsibilities, desired technical and physical skills, conversational ability and much more.
- It helps in selecting the most appropriate candidate for a particular job.

Job description and job specification are two integral parts of job analysis. They define a job fully and guide both employer and employee on how to go about the whole process of recruitment and selection. Both data sets are extremely relevant for creating a right fit between job and talent, evaluate performance and analyze training needs and measuring the worth of a particular job.

Comparison Chart

	Job Description	Job Specification
Taken From	The job description is prepared from the job analysis.	The job specification is prepared from the job description.
Definition	The Job description is about the nature of the job, including the duties and tasks to be done.	The job specification is about the eligibility and skills required for the vacancy.
Comprises of	The job description comprises of information about the workplace, duty-timing, salary, responsibilities and other general information.	Job specification gives the specific information about the age-limit, minimum qualification, certificates, and experience.
Main Function	The job description tells about the 'do's of an individual he/she is selected for the post.	The job specification is about the eligibility for that post.

Job Rotation

Job Rotation is a management approach where employees are shifted between two or more assignments or jobs at regular intervals of time in order to expose them to all verticals of an organization. It is a pre-planned approach with an objective to test the employee skills and competencies in order to place him or her at the right place. In addition to it, it reduces the monotony of the job and gives them a wider experience and helps them gain more insights.

Job rotation is a well-planned practice to reduce the boredom of doing same type of job every day and explore the hidden potential of an employee. The process serves the purpose of both the management and the employees. It helps management in discovering the talent of employees and determining what he or she is best at. On the other hand, it gives an individual a chance to explore his or her own interests and gain experience in different fields or operations.

Job Rotation Objectives

Reducing Monotony of the Job: The first and foremost objective of job rotation is to reduce the monotony and repetitiveness involved in a job. It allows employees to experience different type of jobs and motivates them to perform well at each stage of job replacement.

Succession Planning: The concept of succession planning is 'Who will replace whom'. Its main function of job rotation is to develop a pool of employees who can be placed at a senior level when someone gets retired or leaves the organization. The idea is to create an immediate replacement of a high-worth employee from within the organization.

Creating Right-Employee Job Fit: The success of an organization depends on the on-job productivity of its employees. If they're rightly placed, they will be able to give the maximum output. In case, they are not assigned the job that they are good at, it creates a real big problem for both employee as well as organization. Therefore, fitting a right person in right vacancy is one of the main objectives of job rotation.

Exposing Workers to All Verticals of the Company: Another main function of job rotation process is to exposing workers to all verticals or operations of the organization in order to make them aware how company operates and how tasks are performed. It gives them a chance to understand the working of the organization and different issues that crop up while working.

Testing Employee Skills and Competencies: Testing and analyzing employee skills and competencies and then assigning them the work that they excel at is one of the major functions of job rotation process. It is done by moving them to different jobs and assignments and determining their proficiency and aptitude. Placing them what they are best at increases their on-job productivity.

Developing a Wider Range of Work Experience: Employees, usually don't want to change their area of operations. Once they start performing a specific task, they don't want to shift from their comfort zone. Through job rotation, managers prepare them in advance to have a wider range of work experience and develop different skills and competencies. It is necessary for an overall development of an individual. Along with this, they understand the problems of various departments and try to adjust or adapt accordingly.

Benefits of Job Rotation

Job rotation is considered as an effective tool for successful implementation of HR strategy. It is about settling employees at the right place where they can deliver the maximum results. In today's highly competitive world, this can be proved as the best strategy to find the immediate replacement of a high-worth employee from within the organization. Finding the most suitable

people and shifting them to take on the responsibilities of a higher level is a tough task. Job rotation helps HR managers determine who can be replaced by whom and create a suitable and beneficial fit.

A properly planned and carried job rotation process plays an essential role in strengthening the position of an organization and helps it deal with uncertain and tentative outer environment. Let's discuss the benefits of job rotation process at length in order to realize its importance and the potential:

Helps Managers Explore the Hidden Talent: Job Rotation is designed to expose employees to a wider range of operations in order to assist managers in exploring their hidden talent. In the process, they are moved through a variety of assignments so that they can gain awareness about the actual working style of the organization and understand the problems that crop up at every stage. Through this process, managers identify what a particular employee is good at and accordingly he or she is assigned a specific task.

Helps Individuals Explore Their Interests: Sometimes, employees are not aware of what would like to do until they have their hands on some specific job. If their job is rotated or they are exposed to different operations, they can identify what they are good at and what they enjoy doing. They get a chance to explore their interests and hidden potential.

Identifies Knowledge, Skills and Attitudes: Job Rotation helps managers as well as individuals identify their KSA (Knowledge, Skills and Attitudes). It can be used in determining who needs to improve or upgrade his or skills in order to perform better. This helps in analyzing training and development needs of employees so that they can produce more output.

Motivates Employees to Deal with New Challenges: When employees are exposed to different jobs or assigned new tasks, they try to give their best while effectively dealing with the challenges coming their way. It encourages them to perform better at every stage and prove that they are no less than others. This gives rise to a healthy competition within the organization where everyone wants to perform better than others.

Increases Satisfaction and Decreases Attrition Rate: Exposing employees to different tasks and functions increase their satisfaction level. Job variation reduces the boredom of doing same task

every day. Moreover, it decreases attrition rate of the organization. Employees develop a sense of belongingness towards the organization and stick to it till long.

Helps Align Competencies with Requirements: Alignment of competencies with requirements means directing the resources when and where they are required. It assesses the employees and places them at a place where their skills, competencies and caliber are used to the highest possible extent.

Job Enlargement

Job enlargement means increasing the scope of a job through extending the range of its job duties and responsibilities generally within the same level and periphery. Job enlargement involves combining various activities at the same level in the organization and adding them to the existing job. It is also called the horizontal expansion of job activities. This contradicts the principles of specialization and the division of labor whereby work is divided into small units, each of which is performed repetitively by an individual worker and the responsibilities are always clear. Some motivational theories suggest that the boredom and alienation caused by the division of labor can actually cause efficiency to fall. Thus, job enlargement seeks to motivate workers through reversing the process of specialization. A typical approach might be to replace assembly lines with modular work; instead of an employee repeating the same step on each product, they perform several tasks on a single item. In order for employees to be provided with Job Enlargement they will need to be retrained in new fields to understand how each field works.

The objective of job enlargement is to motivate an employee by increasing his efforts and exposure towards achieving the organizational objectives as set for the job. By doing this, an employee can get a wider range of his or her objectives without his or her job in a repetitious manner. Job enlargement requires the management of the organization to provide their support in providing appropriate training to the employees to make them able to adapt to the enlarged job scope.

Some advantages of job enlargement are a variety of skills, improves earning capacity, and wide range of activities.

- ***Variety of skills*** – Job enlargement helps the organization to improve and increase the skills of the employee due to organization as well as the individual benefit.
- ***Improves earning capacity*** – with all the new activities a person learns from job enlargement, they are able to try to get a better salary when they apply for a new job.
- ***Wide range of activities*** – Employees are able to learn more activities which can help a company save money by reducing the number of employees they have.

However, results have shown that this process can see its effects diminish after a period of time, as even the enlarged job role become the mundane, this in turn can lead to similar levels of demotivation and job dissatisfaction at the expense of increased training levels and costs. The continual enlargement of a job over time is also known as 'job creep', which can lead to an unmanageable workload.

Job Enrichment

Job Enrichment is the addition to a job of tasks that increase the amount of employee control or responsibility. It is a vertical expansion of the job as opposed to the horizontal expansion of a job, which is called job enlargement. Overall Job Enrichment is essential to the workplace because it helps prevent feelings of repetitiveness in the day-to-day operations from hindering productivity.

- A range of tasks and challenges of varying difficulties (Physical or Mental).
- A complete unit of work - a meaningful task
- Feedback, encouragement and communication

Human Resource Planning

Human resource planning is a process that identifies current and future human resources needs for an organization to achieve its goals. It is the process of reviewing HR requirement to ensure that the required number and type of employees are available when they are needed. It helps the organization's human resource needs and developing plans, policies, and systems to satisfy those needs.

As defined by Bulla and Scott, human resource planning is 'the process for ensuring that the human resource requirements of an organization are identified and plans are made for satisfying

those requirements'. Reilly defined (workforce planning) as: 'A process in which an organization attempts to estimate the demand for labor and evaluate the size, nature and sources of supply which will be required to meet the demand. ' Human resource planning includes creating an employer brand, retention strategy, absence management strategy, flexibility strategy, (talent management) strategy, (recruitment) and selection strategy.

Human resource planning should serve as a link between human resource management and the overall strategic plan of an organization. Ageing workers population in most western countries and growing demands for qualified workers in developing economies have underscored the importance of effective human resource planning.

Characteristics of Human Resource Planning (HRP)

- Goal Directed (**Achieving employees goals as well as overall organizational goal**)
- Future-oriented (Forecasting future work force)
- Quantitative and qualitative(Estimating right number of employees needed with right skills and competencies at right time)
- System Oriented (Determining future human resources shortages and surpluses)
- Time Horizon (HRP can be short i.e one year or long term i.e. five year or more)

Importance of Human Resource Planning

a. Uncertainty Reduction

Globalization, New technology, Org. restructuring, and workforce diversity produce uncertainties. Matching demand and supply by determining future shortage and surpluses of human resources.

b. Objective Focused

HR plans are linked to overall corporate plan. This facilitates better coordination for objective achievement.

c. Environmental Adaptation

HR requirements are identified through Job analysis. Evaluate competencies of current human resources and updated regularly so as to adjust changing environmental forces.

d. Acquisition of Human Resources

Facilitates recruitment and selection of employees. Also supports succession planning.

e. Utilization of Human Resources

Right man is made responsible for right job to ensure their productive utilization.
Increase efficiency.

f. Control of Human Resources

HR planning sets standard according to which quality and quantity of employees are controlled.

Human Resource Planning Process

The following are the process of HR planning.

- Capturing underlying business philosophy and focus of the strategic plan of the organization
- Preparing human resource inventory of the company's current human resources that consists of up-to-date information concerning each employee's knowledge, skills and experience, age...
- Scenario Planning-an assessment of the environmental changes that are likely to affect the organization so that a prediction can be made of the possible situations that may have to be dealt with in the future.
- Forecasting future people needs (demand forecasting)- determine the type and number of human resources required in the future

- Forecasting human resource supply: require anticipation of supply of people who will be available in the future from within the organization and in the external labor market
- Comparing forecasts of demand and internal supply
 - Surplus= HR demand < HR supply
 - Shortage= HR demand > HR supply
 - Balanced= HR demand = HR supply
- Drawing up plans to match supply to demand
 - a. If surplus is projected, plan must be made to:**
 - encourage early retirement
 - Reduce working hour
 - Restrict hiring
 - Promotion
 - Training and development
 - transfer
 - lay off
 - b. If shortage is projected, plan must be done to:**
 - Allow overtime work/part time
 - To extend retirement
 - Introduce labor saving technology
 - Job enrichment/enlargement
 - Recruit and select employees
- Implement the action plan
- Monitoring and evaluation

A. Environmental Analysis

It refers to the systematic monitoring of the external forces influencing the organization. The following forces are essential for HRP. Economic factors, including general and regional conditions.

- Technological changes

- Demographic changes including age, composition and literacy,
- Political and legislative issues, including laws and administrative rulings
- Social changes

By scanning the environment for changes that will affect an organization, managers can anticipate their impact and make adjustments early.

B. Determining HR objectives and policies

- HR plan is usually derived from the organizational objectives. Specific requirements in terms of number and characteristics of employees should be derived from organizational objectives.
- Once the organizational objectives are specified, communicated and understood by all concerned, the HR department must specify its objective and policy with regard to HR utilization in the organization.

C. Human Resource Forecast

Once current human resources are analyzed and HR objectives and policies are determined, the next step is to demand and supply forecast. It is to determine future requirement of number of employees, skill required and the internal and external supply.

D. Action Plan

It is known as manpower planning implementation. HR implementation requires converting an HR plan into action. A series of action are initiated as a part of HR plan implementations such as recruitment, selection and placement, socialization, training and development etc.

E. Control and Evaluation

Monitoring and evaluation to ensure that HR planning matches the HR objective and policies. HR manager develop certain HR indicators in order to know the progress of HR management. Evaluation is also done with respect to employment cost against the budget and wastage accrued so that corrective action can be taken in future.

Strategic Human resource planning

What is strategy?

- Strategy is derived from the Greek word “strategia” which connotes the art & science of directing military forces (Around 400 BC)
- meaning the “art of being a general” or “the art of the general”, In this context, strategy refers to an important plan to deploy the available resources in a manner to defeat the enemy
- Strategy is a tool to organize & allocate an organization’s resources in a viable way based on its internal competencies, shortcomings and anticipated changes in the environment.
- Strategy is the use of entity’s resources in the pursuit of its objectives against competition from rival organizations.
- It focus on how the organization will position itself relative to its competitors in order to ensure its long-term survival, create value, and grow.

Strategic planning

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- *meaning the “art of being a general” or “the art of the general”, In this context, strategy refers to an important plan to deploy the available resources in a manner to defeat the enemy*
 - *Strategy is a tool to organize & allocate an organization’s resources in a viable way based on its internal competencies , shortcomings and anticipated changes in the environment.*
 - *Strategy is the use of entity’s resources in the pursuit of its objectives against competition from rival organizations.*

Strategic planning involves a set of procedures for making decisions about the organization's long-term goals and strategies.

Strategic planning is the process of defining an organizational strategy, or direction, and making decisions on allocating the resources of the organization to pursue this strategy.

Strategic Planning and HR Planning

Human resources planning relates to strategic planning into fundamental level: **strategy formulation and strategy implementation**.

Human resources planning provides a set of inputs into the **strategy formulation** process in terms of what is possible, that is, **whether a firm has the types and numbers of people available to pursue a given strategy**.

In addition to strategy formulation, HRP is important in terms of **strategy implementation**. Once the firm has devised its strategy, the HRM function must do its part to ensure the strategy's success, thereby helping the organization to achieve its objectives.

Options to align HR strategy with business strategic plan

Aligning HR strategy with business strategy can be done in one of the following ways:

- Start with organizational strategy and then create HR strategy
- Start with HR competencies and then craft corporate strategies based on these competencies
- Do a combination of both

Human resource planning process

The human resource planning involves:

- Capturing underlying business philosophy and focus of the strategic plan of the organization

- Preparing human resource inventory of the company's current human resources that consists of up-to-date information concerning each employee's knowledge, skills and experience, age...
- Scenario Planning-an assessment of the environmental changes that are likely to affect the organization so that a prediction can be made of the possible situations that may have to be dealt with in the future.
- Forecasting future people needs (demand forecasting)- determine the type and number of human resource required in the future
- Forecasting human resource supply: require anticipation of supply of people who will be available in the future from within the organization and in the external labor market
- Comparing forecasts of demand and internal supply

Surplus= HR demand < HR supply

Shortage= HR demand > HR supply

Balanced= HR demand = HR supply

a. If surplus is projected, plan must be made to:

- encourage early retirement
- Reduce working hour
- Restrict hiring
- Promotion
- Training and development
- transfer
- lay off

b. If shortage is projected, plan must be done to:

- Allow overtime work/part time
- To extend retirement
- Introduce labor saving technology
- Job enrichment/enlargement
- Recruit and select employees
- **Implement the action plan**
- **Monitoring and evaluation**

Factors Affecting Human Resource Planning

HRP is influenced by several factors. The most important of the factors that affect HRP are (1) type and strategy of organization (2) organizational growth cycles and planning (3) environmental uncertainties (4) time horizons (5) type and quality of forecasting information (6) nature of jobs being filled

1. **Type and Strategy of the Organization:** Type of the organization determines the production processes involve, number and type of staff needed and the supervisory and managerial personnel required. HR need is also defined by the strategic plan of organization. If the organization has a plan for organic growth, then organization need to hire additional employees. On the other hand, if the organization is going for mergers and acquisition, then organization need to plan for layoffs, as mergers can create, duplicate or overlap positions that can be handled more efficiently with fewer employees.

Organization first decides whether to be reactive or proactive in HRP. Organizations either carefully anticipate the needs and systematically plan to fill the need in advance (proactive) or can simply react to the needs as they arise (reactive). Likewise, the organization must determine the width of the HR plan. Organization can choose a narrow focus by planning in only one or two HR areas like recruitment and selection or can have a broad perspective by planning in all areas including training and remuneration.

The nature of HR plan is also deciding upon the formality of the plan. It can decide to have an informal plan that lies mostly in the minds of the managers and personnel staff or can have a formal plan which is properly documented in writing.

The nature of HR plan is also depended upon the flexibility that is practiced in the organization. HR plan should have the ability to anticipate and deal with contingencies.

2. **Organizational Growth Cycles and Planning:** All organizations pass through different stages of growth from the day of its inception. The stage of growth in which an organization is determines the nature and extends of HRP. Small organizations in the earlier stages of growth may not have well defined personnel planning. But as the organization enters the growth stage, they feel the need to plan its human resource. At this stage organization gives emphasis upon employee development. But as the organization reaches the mature stage it experiences less flexibility and variability resulting in low growth rate. HR planning becomes more formalized and less flexible and less innovative and problem like retirement and possible retrenchment dominate planning.

During the declining stage of the organization HRP takes a different focus like planning to do the layoff, retrenchment and retirement. In declining situation planning always becomes reactive in nature towards the financial and sales distress faced by the company.

3. **Environmental Uncertainties:** Political, social and economic changes affect all organizations and the fluctuations that are happening in these environments affect organizations drastically. Personnel planners deal with such environmental uncertainties by carefully formulating recruitment, selection, training and development policies and programs. The balance in the organization is achieved through careful succession planning, promotion channels, layoffs, flexi time, job sharing, retirement and other personnel related arrangements.
4. **Time Horizons:** HR plans can be short term or long term. Short term plans span from six months to one year, while long term plans spread over three to twenty years. The extent of time period depends upon the degree of uncertainty that is prevailing in an organization's environment. Greater the uncertainty, shorter the plan time horizon and vice versa.

5. **Type and Quality of information:** The information used to forecast personnel needs originates from a multitude of sources. The forecast depends to a large extent upon the type of information and the quality of data that is available to personnel planners. The quality and accuracy of information depend upon the clarity with which the organizational decision makers have defined their strategy, structure, budgets, production schedule and so on.
6. **Nature of Jobs Being Filled:** Personnel planners need to be really careful with respect to the nature of the jobs being filled in the organization. Employees belonging to lower level who need very limited skills can be recruited hastily but, while hiring employees for higher posts, selection and recruitment need to be carried out with high discretion. Organization needs to anticipate vacancies far in advance as possible, to provide sufficient time to recruit suitable candidate.